

EQUITY RESEARCH

APPLE INC.

AAPL | Technology

Rating: Outperform
Current: \$270.71 | Target: \$287.00

April 2026

Key Metrics Snapshot

Market Cap	\$3,974.33B	ROE	151.91%
P/E (Fwd)	34.09	Dividend Yield	0.38%
P/B Ratio	51.79	52W Range	\$193.25 - \$288.62

Investment Thesis

Apple Inc. maintains a resilient financial profile with steady top-line growth projected at a 3.3% CAGR through 2027, supported by expanding contribution margins approaching 50% and EBITDA expected to reach \$215.8 billion by 2027. While AAPL trades at a premium EV/EBITDA multiple of approximately 27x relative to peers Google and Microsoft, its consistent earnings power and disciplined SG&A; management underpin a durable competitive moat. With EPS forecasted to grow from \$7.49 in 2025 to \$8.93 by 2027 and EBITDA margins expanding toward 45%, Apple remains a high-quality compounder warranting a premium valuation despite near-term multiple compression risk.

Company Overview

Apple Inc. (AAPL) is one of the world's most valuable and recognizable technology companies, headquartered in Cupertino, California. Founded in 1976 by Steve Jobs, Steve Wozniak, and Ronald Wayne, Apple has evolved from a personal computer manufacturer into a global technology ecosystem spanning hardware, software, and services.

Apple's business model is built around a tightly integrated ecosystem of premium hardware products and a rapidly expanding services platform. Its core hardware offerings include the iPhone, which remains the primary revenue driver, alongside Mac computers, iPad tablets, Apple Watch, and AirPods. Complementing these products is a robust and growing services segment encompassing the App Store, Apple Music, Apple TV+, iCloud, Apple Pay, and Apple Arcade. This dual-engine model creates significant customer lock-in and recurring revenue streams, which have become increasingly important to the company's long-term financial profile.

Apple holds a commanding position in the premium consumer electronics market, consistently ranking among the top global smartphone vendors by revenue share. The company competes with Alphabet, Microsoft, Samsung, and a range of other technology and consumer electronics firms. In terms of EBITDA generation, Apple led its peer group through 2023, though both Alphabet and Microsoft have since surpassed it, with Alphabet's projected 2026 EBITDA of approximately 211 billion dollars notably exceeding Apple's estimated 150 billion dollars for the same period.

Financially, Apple has demonstrated steady if measured revenue growth, with a compound annual growth rate of 3.3 percent from 2021 through projected 2027 estimates. Revenue reached approximately 416 billion dollars in fiscal year 2025, with growth expected to continue at a moderate pace toward 482 billion dollars by 2027. A particularly encouraging trend is the consistent expansion of contribution margins, rising from 41.8 percent in 2021 to a projected 49.9 percent by 2027, reflecting the increasing mix of high-margin services revenue. EBITDA margins are similarly expected to improve meaningfully in the forward estimates, reaching 44.8 percent by 2027 compared to the mid-30 percent range seen historically. Earnings per share have grown from 5.67 dollars in 2021 to 7.49 dollars in 2025, with estimates projecting continued expansion toward 8.93 dollars by 2027. Apple's EV/EBITDA multiple of approximately 27 times reflects a premium valuation relative to historical norms, underscoring investor confidence in its long-term earnings power and ecosystem durability.

Investment Overview

Apple Inc. (AAPL) Investment Update

Recent Financial Performance

Apple delivered solid fiscal 2025 results, with revenue growing 6.4% year-over-year to \$416.2 billion, rebounding meaningfully from the modest 2.0% growth recorded in fiscal 2024. EBITDA expanded to \$144.4 billion, representing a margin of 34.7%, continuing a gradual upward trend from the 33.7% level seen in 2021 and 2023. Earnings per share rose sharply to \$7.49 in 2025, up from \$6.11 in 2024, reflecting both operational improvement and the company's ongoing share repurchase program. Contribution margins have also improved steadily, reaching 46.9% in 2025, underscoring Apple's pricing power and favorable product mix shift toward higher-margin services.

Growth Drivers

The primary growth catalysts include continued Services segment expansion, which carries structurally higher margins than hardware, and the gradual integration of Apple Intelligence across its device ecosystem. SG&A, as a percentage of revenue has begun to decline, signaling improving operating leverage. Estimated figures through 2027 project EBITDA margins expanding notably toward 44.8%, suggesting meaningful efficiency gains ahead.

Peer Positioning and Valuation

Apple trades at an EV/EBITDA multiple of approximately 27.0x on 2025 figures, a premium to Alphabet at 21.2x but broadly comparable to historical norms. However, both Alphabet and Microsoft are projected to grow EBITDA at a faster pace through 2026, which may pressure Apple's relative valuation. Revenue is forecast to grow at a three-year CAGR of 3.3% through 2027, reflecting a mature but resilient business.

Outlook

With EPS estimated to reach \$8.93 by 2027 and margins trending higher, Apple remains a high-quality compounder. Investors should monitor Services growth sustainability and competitive AI developments as key variables influencing the forward multiple.

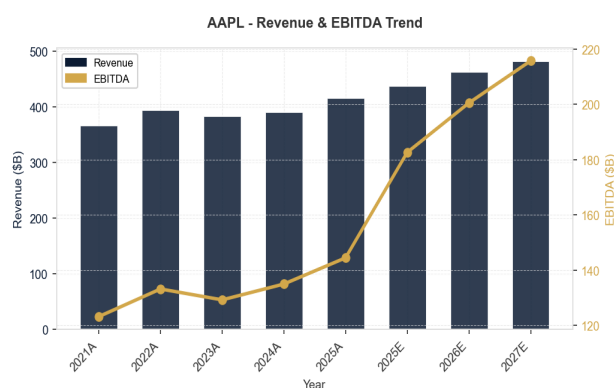
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated moderate revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$416.2B
- EBITDA (2025A): \$144.4B
- Revenue Growth (2025A): 6.4%



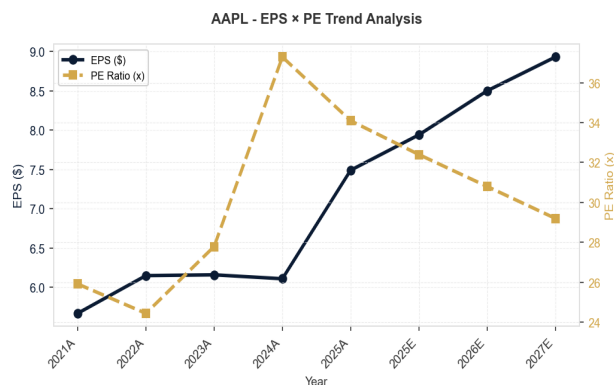
Source: Company Filings

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 7.49
- PE Ratio (2025A): 34.09



Source: Company Filings

Valuation Analysis

Apple Inc. (AAPL) Valuation Analysis

Current Valuation Metrics

Apple currently trades at a trailing P/E of approximately 34.1x based on 2025 actual EPS of \$7.49, with forward estimates suggesting modest multiple compression to 32.4x in 2025E, 30.8x in 2026E, and 29.2x in 2027E as earnings grow at a measured pace. On an EV/EBITDA basis, Apple trades at roughly 27.0x 2025 EBITDA, representing a premium to its own historical average of approximately 20-22x observed between 2021 and 2023. Revenue growth remains modest at a projected 3.3% CAGR through 2027, though margin expansion is a compelling narrative, with EBITDA margins forecast to improve meaningfully from 34.7% in 2025A to 44.8% by 2027E, driven by SG&A; efficiency and contribution margin improvement.

Peer Comparison

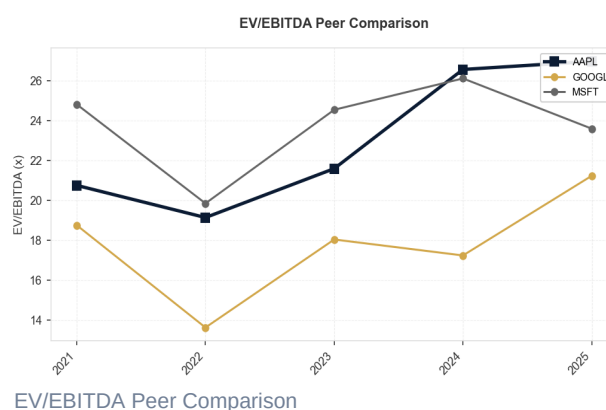
Relative to peers, Apple's EV/EBITDA premium appears increasingly difficult to justify on a growth-adjusted basis. Alphabet (GOOGL) trades at 21.2x 2025 EBITDA while delivering significantly stronger EBITDA growth, with its 2025 EBITDA of \$180 billion already surpassing Apple's \$144 billion and projected to reach \$211 billion in 2026. Microsoft (MSFT) trades at 23.6x 2025 EBITDA and benefits from superior cloud-driven growth dynamics. Apple's 27.0x multiple represents a notable premium over both peers despite comparatively slower top-line expansion.

Fair Value Assessment

Applying a sector-appropriate EV/EBITDA multiple of 24-26x to 2026E EBITDA of approximately \$201 billion implies an enterprise value range of \$4.8 to \$5.2 trillion. Incorporating projected EPS of \$8.50 at a 28-30x forward P/E yields a price target range of roughly \$238 to \$255 per share. At current levels, AAPL appears fairly valued to modestly stretched, with margin expansion providing the primary upside catalyst while revenue growth deceleration poses the key downside risk.

Peer Comparison

Year	AAPL	GOOGL	MSFT
2021	20.75	18.76	24.81
2022	19.14	13.63	19.85
2023	21.59	18.04	24.54
2024	26.56	17.24	26.11
2025	26.97	21.23	23.60



Recent News & Events

News Summary

Apple Inc. (AAPL) Summary - April 28, 2026

Apple is navigating a pivotal moment heading into its April 30 Q2 earnings report, with several converging catalysts drawing significant investor attention. The most notable development is the announced transition of CEO Tim Cook, with hardware engineering chief John Ternus set to take the helm. Markets have interpreted this as a measured, confidence-inspiring handoff rather than a disruption, with some analysts viewing the timing ahead of an expected earnings beat as strategically deliberate.

On the financial front, UBS and several independent analysts are projecting a strong Q2 print, supported by resilient iPhone demand and expanding services revenue. Estimates point to EPS of approximately \$7.94 for fiscal 2025, with the forward EBITDA margin trajectory improving meaningfully toward 41.8% in 2025 estimates versus the 34.7% actual, suggesting significant operational leverage ahead. Notably, Apple appears to be benefiting from rising memory chip costs that are pressuring competitors while leaving Apple's vertically integrated supply chain comparatively insulated.

Apple's AI positioning is gaining renewed attention, with analysts arguing the company's device-level AI integration strategy could make it a dominant but understated player in consumer AI adoption. New App Store subscription pricing flexibility further signals efforts to deepen the services ecosystem.

Regulatory headwinds remain a watch item, as EU regulators are extending Digital Markets Act scrutiny toward cloud and AI services, which could affect Apple's growing software and services segment.

Retail sentiment is mixed but leaning constructive, with X.com showing 73% bullish sentiment against more cautious Reddit commentary. At a forward PE near 32x and with peers like Google and Microsoft commanding premium EBITDA multiples, Apple appears reasonably valued with identifiable upside catalysts into earnings.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 41.8%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 43.3%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 44.8%

Confidence Intervals:

- Revenue: \$340.1B - \$623.3B (95% confidence)
- EBITDA: \$152.4B - \$279.3B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- Product Launch (2026-04-28): Apple stock: UBS explains why Q2 earnings will come in strong
- Impact: MEDIUM, Probability: 70%
- Product Launch (2026-04-28): Apple introduces a cheaper option for App Store subscriptions
- Impact: MEDIUM, Probability: 70%
- Earnings (2026-04-28): Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): Should You Buy, Sell, or Hold AAPL Stock Before Q2 Earnings?
- Impact: HIGH, Probability: 95%

Events to Monitor

- Apple Stock Poised for 21% Surge (2026-04-28)
- Lovable launches its vibe coding app on iOS and Android (2026-04-28)
- Former Apple CEO warns of SERIOUS THREAT facing tech titan (2026-04-27)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Apple stock: UBS explains why Q2 earnings will come in strong
- ✓ Apple introduces a cheaper option for App Store subscriptions
- ✓ Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat
- ✓ The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market
- ✓ Should You Buy, Sell, or Hold AAPL Stock Before Q2 Earnings?
- ✓ Marc Lopresti Bullish on NVDA & SPOT, Cautious on AAPL
- ✓ Big Tech faces key earnings test on AI spending and cloud growth
- ✓ Apple: A New Boss And A New And Higher Dividend (Rating Upgrade)
- ✓ Big Tech faces key earnings test on AI spending and cloud growth
- ✓ Wall Street's Insights Into Key Metrics Ahead of Apple (AAPL) Q2 Earnings
- ✓ Apple is defying a global smartphone slump, as shown through this first-time feat

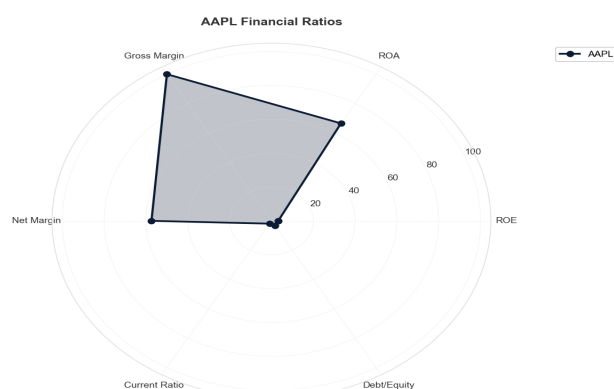
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Apple Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Apple Inc. Competitor Analysis

Apple competes directly with Alphabet (GOOGL) and Microsoft (MSFT) across hardware, software, and increasingly cloud and AI-driven services. Each company commands significant scale, but meaningful differences in growth trajectory, profitability, and valuation have emerged in recent years.

On an absolute EBITDA basis, Apple led the peer group through 2023, generating \$129.2 billion versus Alphabet's \$98.0 billion and Microsoft's \$105.1 billion. However, this leadership has eroded. By 2025, both Alphabet and Microsoft surpassed Apple, posting \$180.0 billion and \$160.2 billion respectively against Apple's \$144.4 billion. Projections for 2026 reinforce this divergence, with Alphabet expected to reach \$210.7 billion and Microsoft \$188.0 billion, while Apple trails at \$150.4 billion. This suggests Apple's core hardware-driven business model is generating slower earnings momentum relative to peers with greater exposure to cloud infrastructure and AI workloads.

From a valuation standpoint, Apple trades at an EV/EBITDA multiple of approximately 27.0x in 2025, a meaningful premium to Alphabet at 21.2x and slightly above Microsoft at 23.6x. This premium appears increasingly difficult to justify given Apple's slower EBITDA growth. Alphabet in particular offers a compelling combination of accelerating earnings growth and a discounted multiple, making it arguably the more attractive risk-reward proposition among the three.

Apple's revenue CAGR of 3.3% through the forecast period further underscores a maturing growth profile. While expanding contribution margins and disciplined SG&A; management reflect strong operational execution, Apple must accelerate its services segment and demonstrate credible AI monetization to defend its premium valuation against faster-growing peers.

Risk Factors

■ # Apple Inc. (AAPL) — Key Investment Risks

■ **Revenue Growth Deceleration & Concentration Risk:** Apple's 3.3% revenue CAGR is modest, with historical volatility including a -2.8% contraction in 2023. Heavy dependence on iPhone hardware (~50%+ of revenue) leaves the company vulnerable to consumer electronics cyclicity and market saturation in core geographies.

■ **Aggressive Margin Expansion Assumptions:** Projected EBITDA margins jump sharply from 34.7% (2025A) to 41.8% (2025E) and 44.8% (2027E), representing a significant deviation from the historically stable 33–35% range. Failure to achieve these targets through Services growth or cost discipline could materially disappoint investors.

■ **Competitive Pressure from Better-Positioned Peers:** Google and Microsoft are growing EBITDA significantly faster — GOOGL's EBITDA nearly doubled from \$103B (2021) to \$211B (2026E) — while trading at lower EV/EBITDA multiples (21.2x vs. Apple's 27.0x in 2025), suggesting Apple carries a relative valuation premium with inferior growth momentum.

■ **Premium Valuation Leaves Limited Margin of Safety:** Apple's P/E expanded from ~25x (2021) to ~37x (2024) despite flat EPS growth (\$6.15 to \$6.11 between 2022–2024), indicating multiple expansion rather than fundamental improvement. Any earnings miss could trigger a sharp de-rating.

■ **Geopolitical & Supply Chain Concentration Risk:** Apple's deep manufacturing dependency on China exposes the company to escalating U.S.-China trade tensions, potential tariff impacts on cost of operations (~53% of revenue in 2025A), and supply disruption risks that could compress margins well below projected levels.

Key Takeaways

- ✓ **Revenue Growth:** Apple Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Apple Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Apple Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Apple Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	N/A	7.8%	-2.8%	2.0%	6.4%
EPS	5.67	6.15	6.16	6.11	7.49
PE Ratio	25.92	24.44	27.79	37.29	34.09

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
Interest Coverage	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.07	0.88	0.99	0.87	0.89
CF to Debt Ratio	0.76	0.92	0.89	0.99	0.99

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Data Source: FMP, Company Filings, AI4Finance Estimates
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